INDIA'S CIRCULAR ECONOMY MOVEMENT

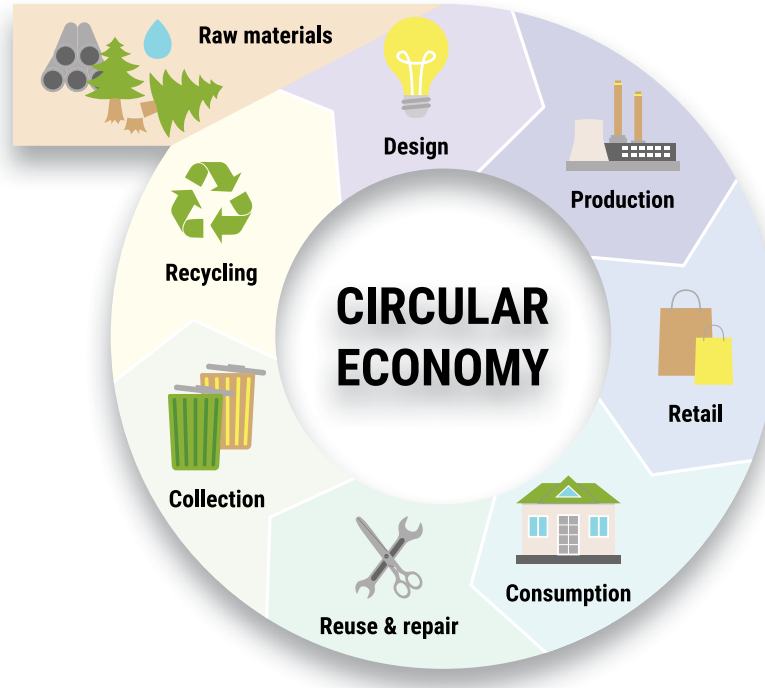
LEADING THE REPAIR CULTURE

India, with a population of 1.4 billion and a GDP of USD 4.1 trillion, faces resource constraints and needs to adopt a sustainable model of development. The circular economy can help address this issue by integrating processes and products, reducing dependency on resources, and promoting sustainable practices. This approach can also reduce congestion and pollution, improve resource efficiency, and encourage self-reliance, ultimately leading to a more sustainable and inclusive economy.

A circular economy is a strategy for economic growth that benefits industry, society, and the environment by promoting reuse, reduction, recycling, refurbishment, and remanufacturing. It encourages responsible use of natural resources and extends the service life of hazardous products. Regulations like the EPR (Extended Producer Responsibility) authorization in India require companies to develop waste management plans to reduce environmental damage.

Indian start-ups are demonstrating technological progress and a positive impact on eco-conscious business practices. With global support, government support, and private investments, start-ups are developing solutions for India's growing environmental demands. Many industries are adopting green practices, using recycled or renewable resources to reduce energy use and trash. Aspiring eco-entrepreneurs and CEOs are interested in climate change calamities. India's SMEs are driving economic growth and meeting its Sustainable Development Goals (SDGs). With 42.5 million SMEs, India employs 40% of the labour force and 30% of the GDP. Government investments in MSMEs help meet SDG obligations. The current generation of eco-entrepreneurs is driving a new era of environmentally conscious goods and services, supported by active, diverse ecosystems.

The Indian government is implementing policies to drive a sustainable circular economy, including rules for plastic waste management and metal recycling. 11 committees, including NITI Aayog, MoEFCC, SMEs, industry representatives, and the National Solar Mission, aim to increase solar energy use and global leadership.



The National Electric Mobility Mission Plan aims to have 30% of vehicles in India be electric by 2030, enhancing fuel security and promoting global manufacturing. The National Action Plan on Climate Change focuses on reducing emissions and adapting to climate impacts. The Pradhan Mantri Fasal Bima Yojana and the National Clean Energy Fund are initiatives in India to support farmers in mitigating climate change risks and promoting clean energy technologies.

The Securities and Exchange Board of India (SEBI) has introduced new guidelines for companies to disclose their environmental, social, and governance (ESG) performance. These rules aim to provide investors with more informed investment choices and improve ESG performance. The government plans to issue sovereign green bonds to fund green projects and public sector initiatives.

Businesses, stakeholders, and the industrial sector can all benefit from a circular economy. Stakeholder concerns and macroeconomic planning are essential. The seven R's of the circular economy—reduce, reuse, recycle, redesign, remanufacture, refurbish, and repair—are supported by the government. These must be the foundation for developing industrial clusters and business parks that would provide India with the opportunity to pursue sustainable manufacturing.

India's circular economy transformation is focusing on key actors and sectors. It highlights challenges such as population growth, urbanisation, food and water scarcity, environmental pollution, infectious diseases, and climate change. Circular enterprises struggle to scale up due to institutional and regulatory gaps, a lack of technology, a lack of integration, low investments, and inadequate business models. Micro, small, and medium enterprises (MSME) are crucial for India's socioeconomic development, contributing almost 30% of the country's GDP. India's young population and emerging manufacturing sector are putting it on an industrialization path similar to developed countries. However, India faces challenges such as poor air quality, rising sea levels, and climate change. A circular economy path could reduce emissions by up to 44% by 2050, generating benefits equivalent to 30% of India's GDP. Indian circular economy enterprises are disrupting traditional industries like sharing, products, and clothing. India has made significant progress in policy development, including the National Environment Policy and the MSME Sustainable Certification Scheme. However, MSMEs face challenges like lack of finance, collateral requirements, regulatory issues, high lending rates, and lack of financial knowledge.